

Vanessa A. Countryman, Secretary (& Commissioners Several)
Securities and Exchange Commission
100 F Street NE
Washington, DC 20549-1090

Re: File No. S7-2026-15 (Proposed Form 10-S / Semiannual Reporting)

Dear Secretary Countryman and Members of the Commission:

I am writing to express my strong opposition to Proposal S7-2026-15, which would permit public companies to transition from quarterly to semiannual financial reporting.

I come to this issue as a legal scholar and researcher deeply invested in market fairness.

I was profoundly honored when the Commission cited my law review article, *With Avarice Aforethought*, in the final rulemaking on Insider Trading Arrangements and Related Disclosures (Release No. 33-11138). In that release, by establishing mandatory cooling-off periods and stricter disclosure requirements for 10b5-1 plans, the SEC took a decisive, historic step to curb information asymmetry and protect retail investors.

However, Proposal S7-2026-15 threatens to undo the very market integrity the Commission just worked so hard to establish. If the abuse of 10b5-1 plans was the last frontier of insider trading, semiannual reporting is the next.

Permitting companies to “go dark” for six months at a time is fundamentally incompatible with the principles of fairness and transparency that have defined the post-Dodd-Frank SEC.

Before I begin, let me make very clear I am not a (Sen.) Warrenesque fan of overregulation or burdensome extraneous reporting. I opposed the way Section 953(b) of Dodd-Frank was implemented (SEC Commissioner Aguilar cites my opposition in his August 5, 2015 statement on the matter) and the SEC has cited my weighing of reporting and taxonomical burdens in the past (*see, e.g.*, Release No. 34-101446 citing Muth five times; Release Nos. 33-10649; 34-86129 citing Muth’s positions in concept release related to whether accredited investor definition creates unintended burdens and trade-offs).

But the engine of our free markets spins freely only when lubricated with information, and this proposal limits the engine’s oil pump to squirting twice a year.

I urge the Commission to reject this proposal for the following reasons:

1. It Expands the Window for Problematic Insider Trading

The Commission rightfully instituted cooling-off periods for 10b5-1 plans to prevent executives from trading on near-term, unreleased financial data (or, as I have pointed out in past comments noticed by the Commission, timing news to maximize the value of pre-planned trades). But if the gap between public reports stretches from three months to six months, the practical definition of “near-term” potentially changes drastically.

Six months in the modern economy is an eternity. It is enough time for product lines to fail, supply chains to collapse, or major clients to vanish. Under a semiannual reporting regime, executives, board members, and their legal counsel will maintain real-time visibility into these crises while the investing public flies blind. This creates a massive, six-month runway for insiders to quietly reallocate assets, leverage sophisticated hedging strategies, or initiate structured sales well before the bad news hits the retail market.

2. The Illusion of “Voluntary” Adoption

While the proposal frames the shift to Form 10-S as optional, market dynamics ensure it will not stay voluntary for long. If major corporations adopt semiannual reporting to shield themselves from short-term volatility, smaller and mid-cap competitors will face immense pressure to follow suit simply to avoid bearing the comparative cost of transparency.

What begins as an option will inevitably trigger a race to the bottom, or at least a race to the six-month mark, resetting baseline investor expectations and permanently degrading the interim quality of public market data by halving its frequency and making it more difficult to compare firms with asynchronous reporting cadences.

Worst of all, this occurs during a period where insider trading from Congress to the prediction markets is front-page news and a time when the public is understandably skeptical of the fairness of markets and the scruples of market participants. Policy must be made to directionally salve rather than harm confidence in markets; this measure fails that test.

3. Extending the Gestation Period for Corporate Fraud

Transparency does not prevent fraud, but frequency isolates it.

From Enron and WorldCom to the systemic opacity leading up to the 2008 financial crisis, catastrophic market events are consistently enabled by prolonged periods of hidden data. Quarterly filings act as a critical tripwire, dramatically shortening the window in which accounting irregularities can fester. Doubling the time between required disclosures doubles the time bad actors have to manipulate the books before facing external scrutiny.

Already, the gravity of the K relative to the Q (and the former's audit requirement) allows firms to make interim corrections and tune financial reporting within reason relatively painlessly (including significant revisions). The recent revision of U.S. Global Investors (NASDAQ: GROW) quarterly numbers (due to an innocent spreadsheet error) is an example of the ease with which simple 10-Q/A revisions can be made.

"Sunshine is the best disinfectant" and its inverse are generally true in financial reporting. The proposed measure is the equivalent of a thumbs-up to a car cruising around with dark window tint in a bad neighborhood. Such cars are scrutinized by police for good reason.

4. An Asymmetrical Shift in Costs

The cost savings touted by this proposal, modest reductions in accounting and legal compliance fees, are meager and, to the extent they exist at all, accrue entirely to the corporation and its executives. Meanwhile, the cost of worse information, widened bid-ask spreads, and unexpected stock shocks falls entirely on investors, pension funds, and 401(k) holders.

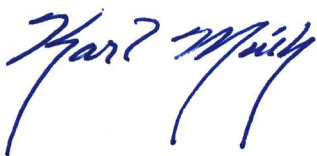
This is a fundamentally regressive trade-off and harmful to the majority of investors (who operate on public information in arms-length transactions) while benefiting the tiny cadre of insiders and insider-adjacent individuals able to exploit their knowledge to create windfalls. The cost of that activity, too, is borne by mainstream market participants.

Conclusion

The SEC has shown immense courage and clarity recently in tightening the rules around how insiders trade on private information. Adopting S7-2026-15 would be a massive step backward, granting insiders a six-month shadow in which to operate without public accountability.

I urge the Commission to protect the retail investor, preserve the 10-Q, and abandon this proposal entirely. Thank you for your time, your service, and your continued commitment to fair markets; the world's investors depend upon your counsel and courage to protect public markets.

Sincerely,

A handwritten signature in blue ink, appearing to read "Karl T. Muth". The signature is fluid and cursive, with the first name "Karl" and last name "Muth" clearly distinguishable.

Karl T. Muth, J.D., M.B.A., M.Phil., Ph.D.

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Lecturer by Separate Appointment, Northwestern University